

CV-26-000861 CASTRO, VINCENT vs ADVANTAGE SALES & MARKETING LLC – Defendant Advantage Sales & Marketing LLC’s Motion to Compel Arbitration of Individual and Individual PAGA Claims, Strike Putative Class Claims, and Stay Non-Individual Paga Claims Pending Arbitration – GRANTED in part, with the representative PAGA claim stayed. Individual wage claims may be tried in this matter under Labor Code section 229.

County: Stanislaus

Division: Civil Law and Motion

Department: 21

Hearing date: 2012-04-02

Motion: FACTUAL SUMMARY: On January 28, 2026, Plaintiff Castro filed this wage and hour class action and PAGA claim against Defendant Advantage Sales. Defendant has moved to compel arbitration, strike the class claims, and stay the non-individual PAGA claims. PLAINTIFF ENTERED INTO THE ARBITRATION AGREEMENT Plaintiff does not appear to seriously challenge the entrance of an agreement to arbitrate. THE FAA DOES NOT APPLY The arbitration agreement itself contains an express provision that the Federal Arbitration Act applies. Defendant argues that the provision controls even if interstate commerce is not implicated, and that in any case, interstate commerce is implicated. Whether an express provision requiring the FAA to be used is currently under review by the state Supreme Court in *Barbosa v. Sierra Pacific Orthopedic Center Medical Group, Inc.* (S294710). California's current precedent appears to require a substantial relationship to interstate commerce. *Hoover v. American Income Life Ins. Co.* (2012) 206 Cal.App.4th 1193 found that a California resident who sold life insurance policies in Texas was not covered by FAA. *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App. 4th 227 requires "a substantial relationship to interstate commerce" for FAA preemption to apply, and emphasizes that the particular employment must bear a substantial connection to interstate commerce. Plaintiff's local job duties in California control the question. Because Plaintiff worked exclusively in California, assembled merchandise already located in California stores, never transported goods across state lines, and did not engage in interstate shipping he argues that Defendant's evidence proves only that Defendant is a nationwide company, not that Plaintiff's work substantially affected interstate commerce. Defendant cites to *Citizens Bank v. Alafabco* (2003) 539 US 52, 54-58 to focus on the broader nationwide commercial relationship between Defendant and its clients. But Hoover cites to that case, and this court is bound by appellate court interpretations of the law. (*Auto Equity Sales v. Superior Court* (1962) 57 Cal.2d 450). LABOR CODE SECTION 229 APPLIES TO THE INDIVIDUAL WAGE CLAIMS ONLY By its terms, Labor Code section 229 applies to individual claims for unpaid wages. The individual claims for wages are not ordered into arbitration. Section 432.6 does not apply due to its effective date. PORTIONS OF THE ARBITRATION AGREEMENT ARE UNCONSCIONABLE, BUT SEVERABLE There is a mild to moderate level of procedural unconscionability given the somewhat adhesive nature of the contract. (*Armendariz v. Foundation Health Psychcare Services, Inc.*, (2000) 24 Cal.4th 83, 114-115) Plaintiff raises several issues as to substantive unconscionability. As to infinite duration *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 noted that a broad scope and infinite duration were not necessarily unconscionable. *Ayala-Ventura* considered issues very similar to this case, where the scope of the agreement ostensibly covered both an infinite duration and non-employment claims. The *Ayala-Ventura* Court found it unlikely that non-employment claims would occur. The contract, read as a whole, is designed entirely to address employment issues and lacks some of the extraordinary wording in *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312 and *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91. The contractual term to the officers or directors "in their capacity as such or otherwise," does appear to be overbroad and offers some amount of procedural unconscionability. The lack of mutuality in the companion confidentiality agreement, which permits only the Defendant to try to get a no-bond injunction, is also unconscionable. *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482 had this type of lack of mutuality, plus other features which rendered the arbitration clause as a whole unconscionable. The next question is severability. As articulated in *Ramirez v. Charter Communications* (2024) 16 Cal.5th 478, 516 At the outset, a court should ask whether 'the central purpose of the contract is tainted with illegality.' [Citation.] If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract's unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary. Even if a contract can be cured, the court should also ask whether the unconscionability should be cured through severance or restriction because the interests of justice would be furthered by such actions. Here, the central purpose of the contract is not tainted with illegality. The contract is not unconscionable throughout but instead has elements of unconscionability. Because the unconscionable clause is not crucial to the determination of these issues, the Court severs the no-bond injunction terms of the confidentiality contract. THE CLASS ACTION WAIVER IS VALID In *Gentry v. Superior Court* (2007) 42 Cal. 4th 443 – the Court considered a class action waiver and an arbitration agreement and

focused on whether the class action waiver would “undermine the vindication of the employees’ unwaivable statutory rights”. Gentry identified the four factors that a court must consider: 1) the modest size of the potential individual recovery, 2) the potential for retaliation against members of the class, 3) the fact that absent members of the class may be ill informed about their rights, and 4) other real-world obstacles to the vindication of class members rights to overtime pay through individual arbitration. Defendant notes that Plaintiff has failed to show what the damages are. Plaintiff observes that a potential award of as much as \$37,000 can meet the first prong, but does not assert an amount of damages, leaving it to the reader. Is it less than \$37,000? More? Plaintiff also fails to bring sufficient information to find the potential for retaliation, even though the Court presumes some fear of retaliation for suing the workplace. Without the amount of the financial claim, the Court cannot find the class action waiver void under Gentry. THE INDIVIDUAL PAGA CLAIM MUST BE ARBITRATED; THE REPRESENTATIVE CLAIM IS STAYED PAGA claims outside of the individual wage and hour claims are covered by existing case law. California law “prohibit[s] wholesale waiver of PAGA claims.” Adolph v. Uber Technologies, Inc. (2023) 14 Cal.5th 1104, 1114. But Defendant’s request is simply to compel arbitration of the individual PAGA component and stay the rest, which is the procedure outlined in Viking River Cruises, Inc. v. Moriana (2022) 596 U.S. 639 and Adolph. The representative claim is stayed. All future dates are vacated and the case is set for a Case Status Review on November 12, 2026 at 8:30 a.m. in Dept. 21.

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FACTUAL SUMMARY:

On January 28, 2026, Plaintiff Castro filed this wage and hour class action and PAGA claim against Defendant Advantage Sales. Defendant has moved to compel arbitration, strike the class claims, and stay the non-individual PAGA claims.

PLAINTIFF ENTERED INTO THE ARBITRATION AGREEMENT

Plaintiff does not appear to seriously challenge the entrance of an agreement to arbitrate.

THE FAA DOES NOT APPLY

The arbitration agreement itself contains an express provision that the Federal Arbitration Act applies. Defendant argues that the provision controls even if interstate commerce is not implicated, and that in any case, interstate commerce is implicated.

Whether an express provision requiring the FAA to be used is currently under review by the state Supreme Court in *Barbosa v. Sierra Pacific Orthopedic Center Medical Group, Inc.* (S294710). California’s current precedent appears to require a substantial relationship to interstate commerce. *Hoover v. American Income Life Ins. Co.* (2012) 206 Cal.App.4th 1193 found that a California resident who sold life insurance policies in Texas was not covered by FAA. *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App. 4th 227 requires “a substantial relationship to interstate commerce” for FAA preemption to apply, and emphasizes that the particular employment must bear a substantial connection to interstate commerce.

Plaintiff’s local job duties in California control the question. Because Plaintiff worked exclusively in California, assembled merchandise already located in California stores, never transported goods across state lines, and did not engage in interstate shipping he argues that Defendant’s evidence proves only that Defendant is a nationwide company, not that Plaintiff’s work substantially affected interstate commerce.

Defendant cites to *Citizens Bank v. Alafabco* (2003) 539 US 52, 54-58 to focus on the broader nationwide commercial relationship between Defendant and its clients. But Hoover cites to that case, and this court is bound by appellate court interpretations of the law. (*Auto Equity Sales v. Superior Court* (1962) 57 Cal.2d 450).

LABOR CODE SECTION 229 APPLIES TO THE INDIVIDUAL WAGE CLAIMS ONLY

By its terms, Labor Code section 229 applies to individual claims for unpaid wages. The individual claims for wages are not ordered into arbitration. Section 432.6 does not apply due to its effective date.

PORTIONS OF THE ARBITRATION AGREEMENT ARE UNCONSCIONABLE, BUT SEVERABLE

There is a mild to moderate level of procedural unconscionability given the somewhat adhesive nature of the contract. (*Armendariz v. Foundation Health Psychcare Services, Inc.*, (2000) 24 Cal.4th 83, 114-115)

Plaintiff raises several issues as to substantive unconscionability.

As to infinite duration *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 noted that a broad scope and infinite duration were not necessarily unconscionable. *Ayala-Ventura* considered issues very similar to this case, where the scope of the agreement ostensibly covered both an infinite duration and non-employment claims.

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The contract, read as a whole, is designed entirely to address employment issues and lacks some of the extraordinary wording in *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312 and *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91. The contractual term to the officers or directors "in their capacity as such or otherwise," does appear to be overbroad and offers some amount of procedural unconscionability.

The lack of mutuality in the companion confidentiality agreement, which permits only the Defendant to try to get a no-bond injunction, is also unconscionable. *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482 had this type of lack of mutuality, plus other features which rendered the arbitration clause as a whole unconscionable.

The next question is severability.

As articulated in *Ramirez v. Charter Communications* (2024) 16 Cal.5th 478, 516

At the outset, a court should ask whether 'the central purpose of the contract is tainted with illegality.' [Citation.] If so, the contract cannot be cured, and the court should refuse to enforce it.

If that is not the case, the court should go on to ask first, whether the contract's unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary.

Even if a contract can be cured, the court should also ask whether the unconscionability should be cured through severance or restriction because the interests of justice would be furthered by such actions.

Here, the central purpose of the contract is not tainted with illegality. The contract is not unconscionable throughout but instead has elements of unconscionability. Because the unconscionable clause is not crucial to the determination of these issues, the Court severs the no-bond injunction terms of the confidentiality contract.

THE CLASS ACTION WAIVER IS VALID

In *Gentry v. Superior Court* (2007) 42 Cal. 4th 443 – the Court considered a class action waiver and an arbitration agreement and focused on whether the class action waiver would “undermine the vindication of the employees’ unwaivable statutory rights”. *Gentry* identified the four factors that a court must consider: 1) the modest size of the potential individual recovery, 2) the potential for retaliation against members of the class, 3) the fact that absent members of the class may be ill informed about their rights, and 4) other real-world obstacles to the vindication of class members rights to overtime pay through individual arbitration.

Defendant notes that Plaintiff has failed to show what the damages are. Plaintiff observes that a potential award of as much as \$37,000 can meet the first prong, but does not assert an amount of damages, leaving it to the reader. Is it less than \$37,000? More?

Plaintiff also fails to bring sufficient information to find the potential for retaliation, even though the Court presumes some fear of retaliation for suing the workplace.

Without the amount of the financial claim, the Court cannot find the class action waiver void under *Gentry*.

THE INDIVIDUAL PAGA CLAIM MUST BE ARBITRATED; THE REPRESENTATIVE CLAIM IS STAYED

PAGA claims outside of the individual wage and hour claims are covered by existing case law.

California law “prohibit[s] wholesale waiver of PAGA claims.” *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1114.

But Defendant’s request is simply to compel arbitration of the individual PAGA component and stay the rest, which is the procedure outlined in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 and *Adolph*. The representative claim is stayed.

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